

Delivery Partner Strategy Assignment

Case Study Analysis Report

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Executive Summary

This project focused on improving delivery partner performance and operational efficiency through two key initiatives: designing a cost-effective benefit program and developing a partner quality evaluation framework.

The first part of the project involved creating a points-based incentive program aimed at increasing partner availability and encouraging higher supply-hour contribution while maintaining financial sustainability. The proposed model achieved a Cost Per Task (CPT) of ₹0.37, significantly below the target threshold of ₹0.90.

The second part of the project involved developing a Partner Quality Evaluation Framework using operational and customer service metrics. A total of 3,553 delivery partners were evaluated and classified into performance categories. The analysis revealed that the majority of partners demonstrated strong operational performance, while a small group was identified for targeted coaching and retraining.

The findings demonstrate how data-driven decision-making can improve workforce management, operational efficiency, and customer satisfaction while maintaining cost control.

1. Introduction

Delivery partners are a critical component of the last-mile delivery ecosystem. Their availability, productivity, and service quality directly influence operational efficiency and customer experience.

This case study focuses on addressing two key business challenges. The first challenge is to design an incentive structure that encourages delivery partners to increase supply hours while maintaining cost efficiency. The second challenge is to establish a quality evaluation framework capable of identifying underperforming partners and supporting targeted improvement initiatives.

The analysis was conducted using historical delivery partner data and performance metrics. Various analytical techniques, scoring frameworks, and business evaluation methods were applied to generate actionable recommendations.

2. Business Objectives

- Design a benefit program that motivates delivery partners to increase supply hours and platform availability.
- Encourage participation during business-critical periods.
- Ensure the Cost Per Task (CPT) remains below the target threshold of ₹0.90.
- Develop a Partner Quality Evaluation Framework.
- Identify underperforming partners requiring coaching or retraining.
- Improve operational efficiency and customer satisfaction.
- Support data-driven workforce management decisions.

3. Dataset Overview

The project utilized two datasets.

Part 1 Dataset

The first dataset contained partner operational information including:

- Partner ID
- Date
- Supply Hours
- Tasks Completed

This dataset was used to design and evaluate the incentive framework.

Part 2 Dataset

The second dataset contained partner performance metrics including:

- Partner ID
- Acceptance Rate
- Cancellation Rate
- Tasks Not Delivered
- Partner Cancellation Rate
- Task Completion Time
- Interaction Rate
- Contact Rate
- Customer Rating

This dataset was used to develop the Partner Quality Evaluation Framework.

Part 1 – Benefit Program Design

Objective

The objective of Part 1 was to design a cost-effective incentive framework that encourages delivery partners to contribute more supply hours and remain active during important business periods.

Methodology

A points-based reward model was developed using daily supply-hour contribution as the primary performance indicator.

Partners were assigned points based on predefined supply-hour buckets. Higher supply-hour contribution resulted in higher reward points, encouraging greater platform availability.

To align incentives with business demand, day-based priority multipliers were introduced. Sunday and Monday were classified as high-priority days, while Friday and Saturday were classified as medium-priority days. Standard incentives were applied to the remaining weekdays.

The incentive cost generated by the model was then evaluated against completed tasks to calculate Cost Per Task (CPT).

KPI Screenshot :

CPT (Cost Per Task)	
₹	0.35
₹	0.37
₹	0.40
₹	0.36

Analysis & Findings

The incentive framework successfully rewarded meaningful partner contribution while maintaining financial sustainability.

Historical testing demonstrated that the program remained significantly below the company's maximum allowable CPT threshold.

The framework encourages increased partner availability while maintaining operational cost control.

Key Result

CPT **threshold** should be less than **0.90 Target Achieved**

Target CPT: ₹0.90

Actual CPT: ₹0.37

Monthly Cost Analysis :

Date	Sum of Incentive_Cost	Sum of Tasks
Jan	₹ 30,424.00	86825
Feb	₹ 38,529.00	103865
Mar	₹ 45,417.25	112178
Apr	₹ 43,514.50	119677
Grand Total	₹ 1,57,884.75	422545

CPT KPI :

CPT (Cost Per Task)	
₹	0.35
₹	0.37
₹	0.40
₹	0.36

Business Impact

Implementation of the proposed incentive framework is expected to generate several business benefits.

The model encourages longer supply-hour contribution and improved workforce availability during business-critical periods. The use of day-priority multipliers supports better resource allocation and operational coverage.

The framework also provides a transparent reward structure that can improve partner engagement and motivation while maintaining cost efficiency.

Overall, the proposed model supports sustainable operational growth without significantly increasing incentive expenditure.

Part 2 – Partner Quality Evaluation Framework

Objective

The objective of Part 2 was to develop a structured framework for measuring partner performance and identifying partners who require performance improvement initiatives.

Methodology

A weighted quality scoring model was developed using operational and customer service metrics.

The framework evaluated :

- Acceptance Rate
- Cancellation Rate
- Tasks Not Delivered
- Partner Cancellation Rate
- Task Completion Time
- Customer Rating

Each metric was assigned a score contribution based on business impact. Positive metrics increased the overall quality score, while negative behaviors reduced the score.

Partners were then classified into predefined performance categories.

Partner Performance Classification :

- Excellent
- Good
- Needs Improvement
- Retraining Required

Analysis & Findings

A total of **3,553 delivery partners** were **evaluated** using the **quality scoring framework**.

The analysis identified **2,971 partners** as **Excellent performers**. These partners demonstrated strong operational performance, high acceptance rates, low cancellation behavior, and positive customer ratings.

A further **523 partners** were classified as **Good performers** and generally met operational expectations.

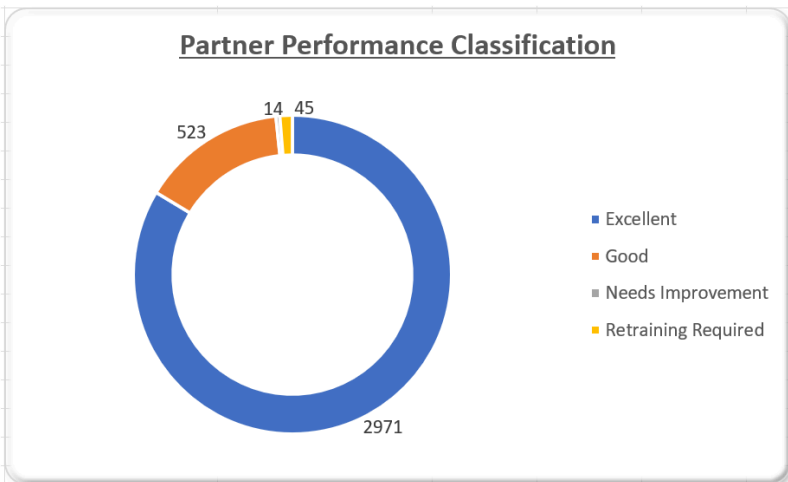
Only **14 partners** were classified as **Needs Improvement**, indicating that performance concerns are concentrated within a small segment of the workforce.

The analysis also identified **45 partners** in the **Retraining Required** category and should be prioritized for corrective action.

Partner Performance Classification Pivot Table :

Category	Count of Partner ID
Excellent	2971
Good	523
Needs Improvement	14
Retraining Required	45
Grand Total	3553

Partner Performance Classification Pivot Chart :



Key Business Insights

The proposed incentive framework achieved a **CPT of ₹0.37**, significantly **below** the **target threshold of ₹0.90**, demonstrating strong financial sustainability.

Approximately **84% partners** of all evaluated partners were classified as **Excellent performers**, indicating a healthy and efficient delivery network.

Only **59 partners** were identified for performance **improvement initiatives**, enabling the organization to focus resources on a targeted group.

The quality evaluation framework successfully identifies operational risks and provides a scalable mechanism for continuous performance monitoring.

Recommendations

Based on the findings of this analysis, the following recommendations are proposed:

- Implement **points-based incentive framework** to improve partner participation and platform availability.
- Continue monitoring **Cost Per Task (CPT)** to ensure long-term financial sustainability.
- Adopt the Partner Quality Evaluation Framework as an ongoing **performance management tool**.
- **Recognize** and **reward** Excellent-performing partners to encourage continued high performance.
- **Provide coaching** and **monitoring support** for partners classified as **Good** and **Needs Improvement**.
- Conduct mandatory **retraining programs** for partners classified as **Retraining Required**.
- **Review performance metrics** periodically to support **continuous improvement** initiatives.

Conclusion

This analysis **successfully addressed** both **business objectives** by developing a cost-efficient incentive program and a **structured Partner Quality Evaluation Framework**.

The incentive model achieved a **CPT of ₹0.37**, significantly **below the target threshold**, demonstrating financial sustainability and operational feasibility. The quality framework **identified strong overall network performance** while also highlighting a **small group of partners requiring improvement initiatives**.

Together, these solutions provide a balanced and scalable approach to workforce management, supporting increased partner engagement, improved service quality, enhanced customer experience, and sustainable business growth.

The findings demonstrate how analytical decision-making can be leveraged to improve operational performance while maintaining strong cost control and service standards.

